Day trading

Day trading is the buying and selling of shares, currency, or other financial instruments in a single day. The intention is to profit from small price fluctuations—sometimes traders hold shares for only a few minutes.

How it works

Investors typically buy or sell a share based on their analysis of economic or market trends, research into specific companies, or as part of a strategy to benefit from the regular dividends that companies issue. Unlike such investors, day traders look for small movements in prices that they can exploit to make a quick profit. They may hold shares only momentarily, buying at one price and selling when the price rises by a few cents, perhaps only minutes later. Day traders make profits by trading large volumes of shares in one transaction, or by making multiple trades during the course of the day. They buy (or sell) shares and then sell (or buy) them again before payment becomes due, and usually "close out" all trades (selling the shares they have bought, and vice versa) at the end of the day to protect themselves from off-hours movements in the market. This is different from long-term investing, in which assets are held for longer periods in order to generate capital growth or income.

Liquid shares

Day traders favor shares that are liquid—those that are easy to buy and sell in the secondary market.